

HERO GROUP, INC
STATEMENT OF ASSETS, LIABILITIES AND STOCKHOLDERS' EQUITY
INCOME TAX BASIS
December 31, 2025
ASSETS

CURRENT ASSETS

PETTY CASH	\$	500.00	
BANK OF TAMPA CHK 2269		131,968.80	
BANK OF TAMPA CHK 2277		301,879.92	
BANK OF TAMPA RESERVE ACCT		27,867.98	
BANK OF TAMPA REAL ESTATE ACCT 0771		51,144.13	
RENASANT BUSINESS FIRST MMKT 4760		<u>118,779.68</u>	
TOTAL CURRENT ASSETS			\$ 632,140.51

FIXED ASSETS

FURNITURE & FIXTURES	61,445.35	
BUILDING	408,273.75	
LAND	100,000.00	
LAND - TBD 74TH ST OCALA FL	180,000.00	
BUILDING IMPROVEMENTS	133,619.86	
ACCUMULATED DEPRECIATION	<u>(183,717.16)</u>	
NET FIXED ASSETS		699,621.80

OTHER ASSETS

LOAN COSTS	25,997.12	
ACCUMULATED AMORTIZATION	<u>(19,471.63)</u>	
TOTAL OTHER ASSETS		6,525.49

TOTAL ASSETS	\$	<u><u>1,338,287.80</u></u>
---------------------	----	----------------------------

LIABILITIES AND STOCKHOLDERS' EQUITY

CURRENT LIABILITIES

SALES TAX PAYABLE	\$	3,963.77	
CREDIT CARD - CAPITAL ONE 3113 (WAS 3430)		2,106.45	
N/P - SHAREHOLDER B. STEPAN		<u>7,500.14</u>	
TOTAL CURRENT LIABILITIES			\$ 13,570.36

LONG TERM LIABILITIES

MORTGAGE PAYABLE BANK OF TAMPA 1510	\$	250,652.42	
N/P - WELLS FARGO SBA 4622		186,616.02	
N/P - BANK OF TAMPA 2832		327,307.41	
N/P - SBA 7406 COVID-19 EIDL		<u>461,752.66</u>	
TOTAL LONG LIABILITIES			1,226,328.51

STOCKHOLDERS' EQUITY

COMMON STOCK	100.00	
DISTRIBUTIONS	(282,977.00)	
ACCUMULATED ADJUSTMENTS ACCT	(459,688.97)	
NET INCOME (LOSS)	<u>840,954.90</u>	
TOTAL STOCKHOLDERS' EQUITY		98,388.93

TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	\$	<u><u>1,338,287.80</u></u>
---	----	----------------------------

HERO GROUP, INC

STATEMENT OF REVENUES AND EXPENSES

INCOME TAX BASIS

FOR THE

	1 Month Ended		12 Months Ended	
	<u>December 31, 2025</u>	<u>Pct</u>	<u>December 31, 2025</u>	<u>Pct</u>
INCOME				
SALES - REVENUE	\$ 404,400.69	100.00	\$ 5,334,329.47	100.00
TOTAL INCOME	<u>404,400.69</u>	<u>100.00</u>	<u>5,334,329.47</u>	<u>100.00</u>
COST OF SALES				
COGS - PRINTING	95,017.09	23.50	1,294,814.27	24.27
COGS - DROP SHIPMENTS	11,313.24	2.80	227,308.23	4.26
COGS - MAILING LIST	16,081.19	3.98	199,654.41	3.74
COGS - CDs & BOOKS	1,100.00	0.27	57,115.00	1.07
COGS - E-MAIL SERVICE	0.00	0.00	942.48	0.02
COMMISSIONS - SALES	4,466.76	1.10	139,828.69	2.62
COMMISSIONS - REFERRALS	21,997.83	5.44	323,700.05	6.07
COGS - POSTAGE - MKT	6,258.47	1.55	155,923.95	2.92
COGS - POSTAGE - NP	100,000.00	24.73	975,000.00	18.28
TOTAL COST OF SALES	<u>256,234.58</u>	<u>63.36</u>	<u>3,374,287.08</u>	<u>63.26</u>
GROSS PROFIT	148,166.11	36.64	1,960,042.39	36.74
OPERATING EXPENSES				
BUILD OUT - TBD 74TH ST OCALA FL	0.00	0.00	31,122.50	0.58
ACCOUNTING FEES	600.00	0.15	4,200.00	0.08
AMORTIZATION	81.20	0.02	974.40	0.02
ADVERTISING	308.00	0.08	5,744.41	0.11
AUTO & TRUCK EXPENSE	0.00	0.00	847.64	0.02
BAD DEBT	0.00	0.00	51,500.00	0.97
BANK CHARGES	2.95	0.00	314.35	0.01
CLIENT GIFTS & PROMOTION	3,581.97	0.89	29,425.54	0.55
COMPUTER EXPENSES	954.54	0.24	12,582.65	0.24
CREDIT CARD CHARGES	4,462.96	1.10	115,349.65	2.16
CONTRACT SERVICES	0.00	0.00	2,500.00	0.05
DEPRECIATION	2,092.64	0.52	17,633.68	0.33
DONATIONS	0.00	0.00	1,670.00	0.03
MEALS - 50% DEDUCTIBLE	2,877.72	0.71	26,596.36	0.50
INSURANCE - GENERAL	0.00	0.00	10,118.00	0.19
INTEREST EXPENSE	16,136.55	3.99	61,703.25	1.16
INTEREST EXP - CREDIT CARDS	0.00	0.00	206.00	0.00
INTEREST EXP - STX	41.51	0.01	62.12	0.00
JANITORIAL SERVICE	350.00	0.09	4,450.00	0.08
LICENSES & TAXES	50.00	0.01	16,018.70	0.30
LOAN COSTS	140.97	0.03	994.17	0.02
OFFICE SUPPLIES	11,480.57	2.84	24,738.82	0.46
SALARIES - STAFF	44,376.91	10.97	282,990.91	5.31
OFFICER'S SALARIES	30,000.00	7.42	240,000.00	4.50
PAYROLL TAXES	3,865.97	0.96	36,315.85	0.68
PAYROLL SERVICE FEES	822.39	0.20	5,222.32	0.10
PENALTIES	270.07	0.07	354.69	0.01
PEST CONTROL	124.55	0.03	818.00	0.02
POSTAGE	850.15	0.21	12,864.89	0.24
REPAIRS & MAINTENANCE	5,595.80	1.38	76,783.01	1.44
SBA FEES	135.53	0.03	1,626.36	0.03
SUPPLIES - OPERATING	4,807.98	1.19	34,532.59	0.65
TELEPHONE	449.42	0.11	6,745.88	0.13
TRAVEL	897.01	0.22	23,430.45	0.44
UTILITIES	443.75	0.11	34,618.63	0.65
WEBSITE	1,245.12	0.31	10,553.41	0.20
TOTAL OPERATING EXPENSES	<u>137,046.23</u>	<u>33.89</u>	<u>1,185,609.23</u>	<u>22.23</u>
INCOME FROM OPERATIONS	<u>11,119.88</u>	<u>2.75</u>	<u>774,433.16</u>	<u>14.52</u>
OTHER INCOME & EXPENSE				
INCOME - RENTAL	1,570.00	0.39	18,190.00	0.34
SALES TAX COMMISSION	0.00	0.00	0.00	0.00
OTHER INCOME	0.00	0.00	0.00	0.00
HURRICANE DAMAGE REIMBURSEMENTS	(1,801.00)	(0.45)	43,555.72	0.82
INTEREST INCOME	339.35	0.08	4,776.02	0.09

UNAUDITED - AMBROSE & ASSOCIATES CPA'S, P.A.
SEE ACCOUNTANTS' COMPILATION REPORT

HERO GROUP, INC
STATEMENT OF REVENUES AND EXPENSES
INCOME TAX BASIS
FOR THE

	1 Month Ended		12 Months Ended	
	<u>December 31, 2025</u>	<u>Pct</u>	<u>December 31, 2025</u>	<u>Pct</u>
TOTAL OTHER INCOME & EXPENSE	108.35	0.03	66,521.74	1.25
NET INCOME (LOSS)	<u>\$ 11,228.23</u>	<u>2.78</u>	<u>840,954.90</u>	<u>15.76</u>

HERO GROUP, INC

STATEMENT OF REVENUES AND EXPENSES

Schedule 1- Five Year Comparison

	12 Months Ended		12 Months Ended		12 Months Ended		12 Months Ended		12 Months Ended	
	<u>Dec. 31, 2025</u>	<u>PCT</u>	<u>Dec. 31, 2024</u>	<u>PCT</u>	<u>Dec. 31, 2023</u>	<u>PCT</u>	<u>Dec. 31, 2022</u>	<u>PCT</u>	<u>Dec. 31, 9999</u>	<u>PCT</u>
Sales										
SALES - REVENUE	\$ 5,334,329.47	100.00%	\$ 3,196,206.36	59.92%	\$ 2,496,849.76	46.81%	\$ 0.00	0.00%	\$ 0.00	0.00%
Total Sales	<u>5,334,329.47</u>	<u>100.00%</u>	<u>3,196,206.36</u>	<u>59.92%</u>	<u>2,496,849.76</u>	<u>46.81%</u>	<u>0.00</u>	<u>0.00%</u>	<u>0.00</u>	<u>0.00%</u>
Cost of Goods Sold										
PURCHASES	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%
COGS - PRINTING	1,294,814.27	24.27%	971,855.69	18.22%	802,414.27	15.04%	0.00	0.00%	0.00	0.00%
COGS - DROP SHIPMENTS	227,308.23	4.26%	155,505.37	2.92%	75,723.39	1.42%	0.00	0.00%	0.00	0.00%
COGS - RSVP SERVICE	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%
COGS - CREATIVE	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%
COGS - MAILING LIST	199,654.41	3.74%	138,411.87	2.59%	102,000.68	1.91%	0.00	0.00%	0.00	0.00%
COGS - CDs & BOOKS	57,115.00	1.07%	38,966.50	0.73%	25,580.00	0.48%	0.00	0.00%	0.00	0.00%
COGS - E-MAIL SERVICE	942.48	0.02%	909.54	0.02%	6,497.02	0.12%	0.00	0.00%	0.00	0.00%
COMMISSIONS - SALES	139,828.69	2.62%	58,112.01	1.09%	5,220.55	0.10%	0.00	0.00%	0.00	0.00%
COMMISSIONS - REFERRALS	323,700.05	6.07%	198,746.04	3.73%	155,300.18	2.91%	0.00	0.00%	0.00	0.00%
COGS - POSTAGE - MKT	155,923.95	2.92%	188,250.63	3.53%	179,788.97	3.37%	0.00	0.00%	0.00	0.00%
COGS - POSTAGE - NP	<u>975,000.00</u>	<u>18.28%</u>	<u>572,500.00</u>	<u>10.73%</u>	<u>45,180.63</u>	<u>0.85%</u>	<u>0.00</u>	<u>0.00%</u>	<u>0.00</u>	<u>0.00%</u>
Total COGS	<u>3,374,287.08</u>	<u>63.26%</u>	<u>2,323,257.65</u>	<u>43.55%</u>	<u>1,397,705.69</u>	<u>26.20%</u>	<u>0.00</u>	<u>0.00%</u>	<u>0.00</u>	<u>0.00%</u>
Gross Profit	<u>1,960,042.39</u>	<u>36.74%</u>	<u>872,948.71</u>	<u>16.36%</u>	<u>1,099,144.07</u>	<u>20.61%</u>	<u>0.00</u>	<u>0.00%</u>	<u>0.00</u>	<u>0.00%</u>
Operating Expenses										
BUILD OUT - TBD 74TH ST OCALA FL	31,122.50	0.58%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%
ACCOUNTING FEES	4,200.00	0.08%	5,600.00	0.10%	4,850.00	0.09%	0.00	0.00%	0.00	0.00%
LEGAL FEES	0.00	0.00%	577.50	0.01%	411.96	0.01%	0.00	0.00%	0.00	0.00%
AMORTIZATION	974.40	0.02%	1,013.56	0.02%	1,014.00	0.02%	0.00	0.00%	0.00	0.00%
ADVERTISING	5,744.41	0.11%	3,147.00	0.06%	5,030.84	0.09%	0.00	0.00%	0.00	0.00%
AUTO & TRUCK EXPENSE	847.64	0.02%	643.51	0.01%	756.00	0.01%	0.00	0.00%	0.00	0.00%
BAD DEBT	51,500.00	0.97%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%
BANK CHARGES	314.35	0.01%	190.35	0.00%	436.00	0.01%	0.00	0.00%	0.00	0.00%
CLIENT GIFTS & PROMOTION	29,425.54	0.55%	5,865.64	0.11%	1,986.64	0.04%	0.00	0.00%	0.00	0.00%
COMPUTER EXPENSES	12,582.65	0.24%	258.50	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%
CREDIT CARD CHARGES	115,349.65	2.16%	94,919.45	1.78%	69,033.99	1.29%	0.00	0.00%	0.00	0.00%
CONTRACT SERVICES	2,500.00	0.05%	0.00	0.00%	84.00	0.00%	0.00	0.00%	0.00	0.00%
DEPRECIATION	17,633.68	0.33%	13,894.71	0.26%	13,894.00	0.26%	0.00	0.00%	0.00	0.00%
DONATIONS	1,670.00	0.03%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%
DUES & SUBSCRIPTIONS	0.00	0.00%	400.00	0.01%	0.00	0.00%	0.00	0.00%	0.00	0.00%
MEALS - 50% DEDUCTIBLE	26,596.36	0.50%	6,072.69	0.11%	2,670.58	0.05%	0.00	0.00%	0.00	0.00%
INSURANCE - GENERAL	10,118.00	0.19%	11,582.00	0.22%	9,422.50	0.18%	0.00	0.00%	0.00	0.00%
INTEREST EXPENSE	61,703.25	1.16%	53,566.35	1.00%	54,310.25	1.02%	0.00	0.00%	0.00	0.00%
INTEREST EXP - CREDIT CARDS	206.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%
INTEREST EXP - STX	62.12	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%
JANITORIAL SERVICE	4,450.00	0.08%	3,150.00	0.06%	0.00	0.00%	0.00	0.00%	0.00	0.00%

UNAUDITED - AMBROSE & ASSOCIATES CPA'S, P.A.
SEE ACCOUNTANTS' COMPILATION REPORT

HERO GROUP, INC

STATEMENT OF REVENUES AND EXPENSES

Schedule 1- Five Year Comparison

	12 Months Ended		12 Months Ended		12 Months Ended		12 Months Ended		12 Months Ended	
	<u>Dec. 31, 2025</u>	<u>PCT</u>	<u>Dec. 31, 2024</u>	<u>PCT</u>	<u>Dec. 31, 2023</u>	<u>PCT</u>	<u>Dec. 31, 2022</u>	<u>PCT</u>	<u>Dec. 31, 9999</u>	<u>PCT</u>
LICENSES & TAXES	16,018.70	0.30%	150.00	0.00%	264.90	0.00%	0.00	0.00%	0.00	0.00%
LOAN COSTS	994.17	0.02%	1,691.64	0.03%	1,691.64	0.03%	0.00	0.00%	0.00	0.00%
MYPAY CLIENT PAYROLL	0.00	0.00%	19,312.69	0.36%	0.00	0.00%	0.00	0.00%	0.00	0.00%
OFFICE SUPPLIES	24,738.82	0.46%	4,314.61	0.08%	15,077.88	0.28%	0.00	0.00%	0.00	0.00%
SALARIES - STAFF	282,990.91	5.31%	184,156.25	3.45%	198,118.75	3.71%	0.00	0.00%	0.00	0.00%
OFFICER'S SALARIES	240,000.00	4.50%	230,000.00	4.31%	240,000.00	4.50%	0.00	0.00%	0.00	0.00%
PAYROLL TAXES	36,315.85	0.68%	28,023.00	0.53%	28,898.92	0.54%	0.00	0.00%	0.00	0.00%
PAYROLL SERVICE FEES	5,222.32	0.10%	3,132.94	0.06%	1,159.00	0.02%	0.00	0.00%	0.00	0.00%
PENALTIES	354.69	0.01%	0.00	0.00%	17.50	0.00%	0.00	0.00%	0.00	0.00%
PEST CONTROL	818.00	0.02%	816.75	0.02%	811.85	0.02%	0.00	0.00%	0.00	0.00%
POSTAGE	12,864.89	0.24%	39,156.93	0.73%	341,626.15	6.40%	0.00	0.00%	0.00	0.00%
REPAIRS & MAINTENANCE	76,783.01	1.44%	8,197.07	0.15%	6,640.26	0.12%	0.00	0.00%	0.00	0.00%
SBA FEES	1,626.36	0.03%	1,626.36	0.03%	1,626.36	0.03%	0.00	0.00%	0.00	0.00%
SUPPLIES - OPERATING	34,532.59	0.65%	18,925.30	0.35%	26,527.41	0.50%	0.00	0.00%	0.00	0.00%
TAXES - PROPERTY	0.00	0.00%	20,661.44	0.39%	10,176.07	0.19%	0.00	0.00%	0.00	0.00%
TELEPHONE	6,745.88	0.13%	5,089.01	0.10%	5,228.90	0.10%	0.00	0.00%	0.00	0.00%
TRAVEL	23,430.45	0.44%	8,382.84	0.16%	15,119.61	0.28%	0.00	0.00%	0.00	0.00%
UTILITIES	34,618.63	0.65%	24,381.04	0.46%	23,261.55	0.44%	0.00	0.00%	0.00	0.00%
WEBSITE	10,553.41	0.20%	7,171.50	0.13%	4,000.00	0.07%	0.00	0.00%	0.00	0.00%
Total Operating Exp	<u>1,185,609.23</u>	<u>22.23%</u>	<u>806,070.63</u>	<u>15.11%</u>	<u>1,084,147.51</u>	<u>20.32%</u>	<u>0.00</u>	<u>0.00%</u>	<u>0.00</u>	<u>0.00%</u>
Operating Inc (Loss)	<u>774,433.16</u>	<u>14.52%</u>	<u>66,878.08</u>	<u>1.25%</u>	<u>14,996.56</u>	<u>0.28%</u>	<u>0.00</u>	<u>0.00%</u>	<u>0.00</u>	<u>0.00%</u>
Other Income/Expense										
INCOME - RENTAL	18,190.00	0.34%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%
HURRICANE DAMAGE	43,555.72	0.82%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%
REIMBURSEMENTS										
INTEREST INCOME	4,776.02	0.09%	6,108.45	0.11%	14,705.10	0.28%	0.00	0.00%	0.00	0.00%
Total Other Inc/Exp	<u>66,521.74</u>	<u>1.25%</u>	<u>6,108.45</u>	<u>0.11%</u>	<u>14,705.10</u>	<u>0.28%</u>	<u>0.00</u>	<u>0.00%</u>	<u>0.00</u>	<u>0.00%</u>
Net Income (Loss)	<u>\$ 840,954.90</u>	<u>15.76%</u>	<u>\$ 72,986.53</u>	<u>1.37%</u>	<u>\$ 29,701.66</u>	<u>0.56%</u>	<u>\$ 0.00</u>	<u>0.00%</u>	<u>\$ 0.00</u>	<u>0.00%</u>

Ambrose & Associates CPA's, P.A.
8600 113th St
Seminole, FL 33772-3625
727-393-8755

May 11, 2026

HERO GROUP, INC
12561 ULMERTON ROAD
LARGO, FL 33774

Management is responsible for the accompanying financial statements of HERO GROUP, INC (an S corporation), which comprise the statements of assets, liabilities, and stockholders' equity - income tax basis as of December 31, 2025, and the related statements of revenues and expenses - income tax basis, for the 1 Month and 12 Months then ended in accordance with the income tax basis of accounting.

We have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. We did not audit or review the financial statements nor were we required to perform any procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not provide an opinion, a conclusion, nor provide any form of assurance on these financial statements.

The financial statements are prepared in accordance with the income tax basis of accounting, which is a basis of accounting other than accounting principles generally accepted in the United States of America.

The supplementary information contained in schedule 1 is presented for purposes of additional analysis and is not a part of the basic financial statements. This information is the representation of management. The information was subject to our compilation engagement, however, we have not audited or reviewed the supplementary information and, accordingly, do not express an opinion, nor provide any form of assurance on such supplementary information.

Management has elected to omit substantially all the disclosures ordinarily included in financial statements prepared in accordance with the income tax basis of accounting. If the omitted disclosures were included in the financial statements, they might influence the user's conclusions about the company's assets, liabilities, equity, revenue, and expenses. Accordingly, the financial statements are not designed for those who are not informed about such matters.

We are not independent with respect to HERO GROUP, INC .

Ambrose & Associates CPA's, P.A.